

Tata Consultancy Services Ltd

Investment Rating : Weak

Company Overview

Website	https://www.tcs.com/
Sector	nan
Market Cap	461,188.15 Cr
PE Ratio	78.69
PB Ratio	6.08
Dividend Yield	1.62 %

Financial Quality

ROE	0.52
ROCE	64.3
CFO Quality	Moderate
FCF CAGR	10.05%
Capital Pattern	Restructuring

Capital Allocation

Capital Score	35.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Unknown

Business Overview

Tata Consultancy Services is the flagship company and a part of Tata group. It is an IT services, consulting and business solutions organization that has been partnering with many of the world's largest businesses in their transformation journeys for over 50 years. TCS offers a consulting-led, cognitive powered, integrated portfolio of business, technology and engineering services and solutions.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Return on equity improving for 3 consecutive years shows strengthening business quality.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.